

ICAP Strategic Case Study

Summer 2026 - Predicted Paper 9 – Answers

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Question 1(a) - Competitor moves, competitive position and strategic response (14 marks)

KMCH should assess the competitor developments against its existing strategic position in the pre-seen: a premium, technology-enabled vehicle-rental business with owned fleet, depots, telematics, app-based booking, doorstep delivery, airport pick-up, corporate leasing, chauffeur services and motorcycle tours. The competitor moves do not all represent the same level of threat. Some are temporary promotional tactics, while others indicate a structural change in customer expectations and competitive basis.

Impact of competitor moves

Competitor / market development	Likely impact on KMCH	Strategic interpretation
App-based “book in two minutes” city rentals and partner collection points	Threatens KMCH where customers value speed, convenience and availability more than traditional premium depot service. It may weaken the advantage of KMCH’s physical depots if the app experience is slower.	This is a threat to convenience and customer experience, not only price. It suggests the market is moving towards instant confirmation, lighter physical infrastructure and friction-free digital journeys.
Subscription-style corporate employee product	Could encroach on KMCH’s corporate leasing base, especially if clients prefer predictable monthly charges and vehicle category flexibility rather than fixed vehicles.	This competes with KMCH’s corporate leasing proposition. KMCH should not respond only with discounts; it should redesign packages and service-level commitments.
International brands promoting loyalty, airport priority and app confirmation	Raises the service benchmark for premium and corporate customers. KMCH may lose business if its booking journey feels less predictable even if its vehicle quality remains good.	This reinforces the need for differentiation through reliability, service assurance and customer confidence.
Small informal operators offering low rates through social media	Attracts price-sensitive customers but also carries quality, documentation and refund weaknesses.	This is more of a low-price threat than a premium threat. KMCH should avoid moving fully into low-price competition under its main brand.
Start-up promoting privately owned vehicles through influencers	Potentially disruptive because it is asset-light, socially visible and may scale quickly if network effects emerge.	This is the clearest signal that peer-to-peer rental could become a substitute for traditional rentals. KMCH should evaluate a controlled response before the market standard is set by others.
Corporate customers willing to pay for reliability, documentation and central billing	Supports KMCH’s premium positioning, but customers are less willing to accept slow confirmation and unexplained price increases.	KMCH still has a defensible position, but only if service reliability, speed, transparency and package flexibility improve.

Bowman's Strategic Clock / Porter generic strategy interpretation

KMCH currently appears closest to a differentiated / focused differentiation position. It is not the cheapest operator; its value proposition is based on reliability, clean and well-presented vehicles, transparent pricing, safety, technology, corporate service, chauffeur capability and premium customer trust.

- Low-price operators are competing closer to a low-price strategy. KMCH should not copy this fully because it may damage the premium brand, reduce margins and create expectations that cannot be supported by its asset-heavy cost base.
- International brands are competing on differentiation through loyalty, airport priority and smoother digital booking. KMCH must match or exceed the customer journey aspects while retaining local market knowledge and flexible service.
- App-based and peer-to-peer entrants may follow a hybrid strategy: lower cost plus convenience. This is dangerous because it attacks both price and ease of use. KMCH should respond with controlled innovation rather than defending old depot processes blindly.
- If KMCH tries to be both a premium owned-fleet operator and a low-price peer-to-peer marketplace under the same brand without controls, it may become "stuck in the middle". The response should separate segments, brands and service promises where necessary.

Recommended competitive response

- Defend the premium core: strengthen booking confirmation, vehicle cleanliness, handover speed, replacement support, customer communication and corporate billing. This protects the areas customers already value.
- Redesign corporate and airport products: introduce subscription / category-based packages, guaranteed replacement vehicles, service-level commitments, loyalty benefits and clearer escalation channels for corporate accounts.
- Launch controlled experimentation: pilot peer-to-peer or asset-light models in limited cities, with strict vehicle screening, insurance, contracts, pricing controls and separate customer communication.
- Use a sub-brand or clearly labelled marketplace offering for lower-cost / peer-to-peer vehicles so that the core KMCH premium brand is not diluted by third-party service failures.
- Improve digital parity with competitors: instant confirmation, transparent availability, payment reliability, status tracking, app notifications, cancellation rules and customer support scripts.
- Benchmark competitors continuously: track booking speed, pricing, cancellation terms, vehicle replacement promise, loyalty benefits, deposit refund speed, app ratings and corporate customer feedback.
- Prioritise profitable differentiation, not indiscriminate discounting. KMCH should compete on assurance, service reliability, compliance and convenience, while using targeted promotions only where they support utilisation.

Conclusion: KMCH should not overreact to every competitor promotion. However, the direction of the market is clear: digital convenience, flexible subscription products and platform models are becoming more important. KMCH should preserve its premium differentiation while building controlled asset-light and digital capabilities before competitors define the new market standard.

Question 1(b) - Managed peer-to-peer platform: launch, partner or avoid (14 marks)

The peer-to-peer proposal is strategically significant because it may allow KMCH to compete in an asset-light model and reach younger / price-sensitive customers, but it also challenges KMCH's premium brand promise. The decision should be based on strategic fit, commercial attractiveness, risk, brand impact and implementation readiness.

Option	Advantages	Disadvantages / risks	Assessment
Launch KMCH-managed peer-to-peer pilot	Provides control over standards, customer journey, pricing rules, inspections, contracts and data. Allows KMCH to learn before competitors scale. Creates asset-light revenue and tests network effects.	Requires platform enhancement, inspection capability, insurance design, dispute handling, customer disclosure and support. Risk of cannibalising owned-fleet rentals and causing brand damage if third-party vehicle quality is weak.	Best option if implemented as a controlled pilot with strict limits, not as a full roll-out.
Partner with existing peer-to-peer platform	Faster entry and lower initial technology burden. KMCH can observe customer demand and avoid building everything internally.	Less control over quality, data, pricing, service recovery and customer experience. KMCH may strengthen a future competitor. Brand risk remains if customers associate failures with KMCH.	Useful only if KMCH has strong contractual control, data access and brand separation.
Avoid peer-to-peer model	Protects premium owned-fleet brand and avoids legal, insurance and operational uncertainty. Management can focus on existing service problems.	May leave KMCH exposed if peer-to-peer becomes mainstream. Competitors may capture younger, price-sensitive and app-first customers. KMCH would lose learning opportunity.	Too defensive. Avoidance may be justified for full-scale launch, but not for a controlled experiment.

Strategic fit

- The model fits the wider market shift towards digital platforms, peer-to-peer utilisation and asset-light mobility. The pre-seen already identifies peer-to-peer rentals as an emerging segment in Pakistan.
- It partly fits KMCH's technology-enabled positioning because the company already uses an app, telematics, licence upload and digital agreements.
- It does not fully fit the premium owned-fleet model unless KMCH can impose inspection, quality, documentation, insurance and customer-service standards on third-party vehicles.

Commercial attractiveness

- The model can reduce capital intensity because KMCH would earn commission without buying vehicles.
- It may access customers who cannot afford KMCH's premium owned-fleet pricing.
- It can improve platform relevance and app traffic, potentially creating cross-selling opportunities into KMCH's owned fleet, chauffeur services or motorcycle tours.
- However, cannibalisation is a real risk. If price-sensitive customers move from KMCH-owned rentals to lower-priced third-party vehicles, contribution from the owned fleet may fall.

Key risks and safeguards

- Vehicle quality risk: restrict pilot to cars below a maximum age, verified ownership, clean accident history, inspection evidence and minimum presentation standards.
- Insurance and liability risk: customer contracts, owner agreements and insurance coverage must clearly allocate responsibility for accidents, damage, fines, late returns and refunds.
- Brand risk: use clear customer disclosure and consider a sub-brand or “KMCH-approved marketplace” label rather than presenting third-party vehicles as KMCH-owned.
- Operational risk: set standard handover checklists, photo evidence, customer support process, dispute-resolution rules and owner performance ratings.
- Data risk: define customer consent, data retention, access by owners / insurers / inspection partners and cybersecurity controls.
- Regulatory risk: confirm provincial registration, tax treatment, insurance requirements and whether third-party vehicles can legally be offered through KMCH’s platform.

Recommendation

KMCH should not launch a full peer-to-peer marketplace immediately. It should proceed with a limited managed pilot in Karachi and Lahore, using a separate label or clearly disclosed marketplace model, strict vehicle vetting, capped number of vehicles, insurance and legal sign-off, transparent pricing, customer disclosure and performance dashboards. The pilot should have go / no-go criteria covering contribution, customer ratings, dispute frequency, complaint resolution time, cannibalisation, owner compliance and regulatory clearance. If these criteria are not met, the model should be stopped or redesigned before wider rollout.

Question 1(c) - Customer value proposition and brand protection (8 marks)

KMCH should redesign its customer value proposition around reliability, transparency, speed and trust rather than reacting only through lower prices. The competitor information indicates that customers increasingly value convenience, app-based confirmation and package flexibility, while KMCH's pre-seen positioning depends on premium service, safety and reliability.

- Core promise: position KMCH as “trusted mobility with verified vehicles, clear pricing and reliable support”, rather than simply a car rental provider.
- Digital convenience: reduce friction through instant booking confirmation, real-time availability, digital licence upload, payment confirmation, app notifications and transparent cancellation rules.
- Corporate value proposition: offer centralised billing, category-based subscription packages, replacement vehicle guarantees, usage reports and service-level commitments for corporate clients.
- Premium assurance: maintain clean, well-maintained vehicles, documented handover, insurance clarity, trained staff and fast complaint resolution. These are the points that justify higher pricing.
- Segmented brand architecture: keep premium KMCH-owned fleet separate from any peer-to-peer or budget marketplace proposition. Customers must know what they are buying.
- Pricing transparency: explain fuel surcharges, deposits, insurance, penalties and refund timelines clearly to avoid customer mistrust.
- Service recovery: introduce proactive support when bookings fail, vehicles are unavailable, or app/payment problems occur. Good recovery protects the brand even when incidents happen.
- Customer feedback loop: use NPS, app ratings, complaint themes and competitor benchmarking to continuously redesign packages and service standards.

Conclusion: KMCH should not abandon its premium brand. It should modernise the premium proposition and use separate, controlled offerings for lower-cost or peer-to-peer customers so that brand trust is protected while the company responds to new competition.

Question 2(a) - Financial evaluation of managed peer-to-peer platform (15 marks)

The financial evaluation below uses Appendix 4. Amounts are in Rs. million unless stated otherwise.

Component	Year 1	Year 2	Year 3	Working / basis
Active listed vehicles	280	520	720	Appendix 4
Booking days per year	26,880	56,160	86,400	Active vehicles x booking days per month x 12
Gross booking value	201.600	460.512	751.680	Booking days x average customer price per day
KMCH commission revenue	36.288	82.892	135.302	Gross booking value x 18%
Payment gateway and booking support cost	(6.720)	(15.444)	(25.920)	Booking days x cost per booking day
Customer dispute / compensation cost	(3.024)	(6.908)	(11.275)	Gross booking value x 1.5%
Vehicle-owner verification / first inspection cost	(7.000)	(13.000)	(18.000)	Active vehicles x Rs. 0.025m
Incremental platform support team cost	(28.000)	(36.000)	(44.000)	Appendix 4
Digital marketing and onboarding campaign	(18.000)	(10.000)	(8.000)	Appendix 4
Lost contribution from owned-fleet cannibalisation	(8.000)	(12.000)	(16.000)	Appendix 4
Net annual cash flow	-34.456	-10.460	12.107	Commission revenue less all above cash costs

NPV working

Year	Net cash flow	Discount factor at 16%	Present value
0	(72.000)	1.000	(72.000)
1	(34.456)	0.862	(29.704)
2	(10.460)	0.743	(7.767)
3	12.107	0.641	7.751
NPV			(101.720)

Year 1 break-even working

For the simple Year 1 break-even estimate, fixed cash costs before vehicle-owner verification are Rs. 46.0 million. Average Year 1 economics per active listed vehicle are:

Component per active listed vehicle	Calculation	Rs. million
Commission revenue	8 booking days x 12 months x Rs. 7,500 x 18%	0.1296
Payment gateway / booking support cost	8 x 12 x Rs. 250	(0.0240)
Customer dispute / compensation cost	8 x 12 x Rs. 7,500 x 1.5%	(0.0108)
Owner verification and first	Given	(0.0250)

inspection cost		
Net contribution per active vehicle		0.0698
Break-even active vehicles	Rs. 46.0m / Rs. 0.0698m	Approximately 659 vehicles

Interpretation

- The base-case NPV is significantly negative at approximately Rs. 101.7 million. The proposal does not recover the initial platform enhancement cost and produces negative cash flows in Years 1 and 2.
- Year 1 expected active vehicles are only 280, whereas break-even requires approximately 659 active vehicles. This means the Year 1 scale assumption is far below the required operating level.
- The platform only becomes cash-positive in Year 3, and even then the net cash flow of Rs. 12.1 million is modest relative to the initial investment and operational risk.
- The economics are sensitive to active listed vehicles, booking days per vehicle, commission rate, price per day, dispute costs, verification costs, cannibalisation and fixed platform support cost.
- Cannibalisation is a particularly important assumption. If third-party rentals replace higher-margin KMCH-owned fleet rentals, the financial harm may be larger than shown.
- The appraisal ignores tax but also ignores unquantified downside risks such as regulatory penalties, insurance gaps, brand damage, customer claims, cyber incidents and management distraction.

Assumption critique and recommendation

The financial case does not support a full commercial launch. However, the project may still have strategic learning value if redesigned as a smaller experiment. The Board should require a revised pilot with lower initial platform spend, fewer cities, milestone-based expenditure, a clearer commission structure, minimum active vehicle commitments, and separate measurement of cannibalisation. A pilot should proceed only if the purpose is controlled learning, not immediate financial return. If management cannot reduce the initial fixed cost or demonstrate a path to more than 659 active listed vehicles with acceptable quality, the project should not be approved in its present form.

Question 2(b) - Business continuity and disaster recovery plan (10 marks)

The outage shows that KMCH's operational resilience has not kept pace with its dependence on digital booking, telematics, licence upload and payment systems. Since the pre-seen states that the app and website generate a very large proportion of bookings, a six-hour outage during peak demand is a strategic service risk, not merely an IT issue.

- Critical process mapping: identify which services must continue during an outage: booking confirmation, payment validation, licence verification, vehicle allocation, handover approval, customer communication and refund handling.
- Business impact analysis: define acceptable downtime for the booking app, payment gateway, telematics and licence upload. Peak weekends should have stricter tolerance than normal periods.
- Recovery objectives: set practical recovery time objectives and recovery point objectives for key systems. For example, payment and booking confirmation should have near-real-time recovery or manual fallback during peak periods.
- Payment gateway resilience: negotiate service-level agreements, escalation times, backup payment provider arrangements and transaction reconciliation procedures.
- Manual fallback procedures: create standard depot-level procedures for confirmed booking screenshots, offline licence verification, payment holds, vehicle release authority and customer identity checks.
- Depot training and authority limits: depot staff should know when they can bypass digital processes and who must approve exceptions. The process should be simple enough for a weekend incident.
- Customer communication: customer-service agents need approved scripts, app banners, SMS / WhatsApp updates, apology credits criteria and escalation routes.
- Data reconciliation: after an outage, bookings, payments, vehicle allocation, refunds and deposits must be reconciled to avoid revenue leakage and customer disputes.
- Testing and simulation: run periodic outage drills before holidays and peak travel periods, involving IT, depots, customer service, finance and operations.
- Board reporting: report outage frequency, downtime, lost bookings, customer complaints, recovery time and corrective actions to the Board because digital reliability is part of the customer promise.

The plan should be proportionate. KMCH does not need an expensive theoretical document; it needs a practical, tested playbook that depot staff can execute under pressure.

Question 2(c) - Innovation management process (10 marks)

KMCH should manage innovation as a disciplined portfolio of experiments, not as ad hoc ideas announced every few months. The management workshop shows tension between staff who believe KMCH is too slow and depot teams who feel existing problems remain unresolved. A structured innovation process can balance speed with control.

- Idea generation: gather ideas from customers, depot staff, corporate clients, IT, sales, competitors and complaint data. Frontline staff should be included because they understand service failures and practical barriers.
- Screening: evaluate ideas against strategic fit, customer value, financial case, operational capacity, regulatory risk, brand impact and data / technology requirements.
- Prioritisation: create a short innovation backlog approved by management, with owners, budgets and milestones. This prevents multiple unowned projects competing for IT and depot resources.
- Pilot testing: launch small pilots with clear scope, city / customer limits, defined success measures, customer communication rules and risk controls. Peer-to-peer rentals should not be scaled before pilot evidence is available.
- Resource allocation: provide dedicated cross-functional teams from IT, operations, sales, finance, legal/compliance and customer service. Innovation should not be added informally to already stretched depot teams.
- Learning from failure: failed pilots should not automatically be treated as poor performance if they were controlled, measured and stopped early. However, repeated failure due to weak planning should be challenged.
- Scaling decisions: scale only when customer demand, contribution, service quality, risk controls, staff training and system reliability meet agreed thresholds.
- Post-implementation review: compare actual outcomes against the business case, including cannibalisation, customer complaints, technology performance and operational workload.
- Governance link: management should report innovation portfolio status to the Board, including expenditure, risks, lessons learned and decisions to scale, pause or stop.
- Cultural alignment: reward responsible experimentation, customer-focused problem solving and cross-functional collaboration rather than only short-term revenue.

Question 3(a) - Board governance of innovation agenda (10 marks)

The Board must govern innovation differently from normal fleet purchases because platform initiatives involve customer data, brand risk, regulation, technology reliability and uncertain business models. However, governance should support responsible speed, not create excessive bureaucracy.

- Innovation strategy and risk appetite: define what type of innovation KMCH is willing to pursue, the acceptable level of financial loss in pilots, and which risks are non-negotiable such as safety, insurance, customer disclosure and data protection.
- Investment approval framework: use smaller, faster approval limits for pilots, but require clear business cases, success criteria, stop-loss limits and post-implementation reviews.
- Innovation portfolio oversight: the Board should see all material initiatives together: app upgrades, peer-to-peer rentals, subscription products, virtual depots, EVs and corporate mobility dashboards. This avoids overloading management.
- Data and cybersecurity oversight: peer-to-peer and app-based models increase customer data sharing. The Board should require privacy review, cyber controls, vendor due diligence and incident-response reporting.
- Customer and brand protection: approve rules for whether the peer-to-peer model uses the KMCH brand, a sub-brand, or clear “KMCH-approved third-party vehicle” disclosure.
- Operational readiness: require confirmation from the Operations Director that depot / support teams can handle handovers, disputes, accidents, complaints and customer recovery before launch.
- Legal and regulatory sign-off: require review of customer contracts, owner agreements, insurance, sales tax / provincial service tax implications and dispute resolution before pilot launch.
- Performance dashboard: track contribution, customer ratings, complaints, dispute frequency, vehicle-owner compliance, conversion rates, cannibalisation and downtime.
- Independent challenge: independent non-executive directors should challenge optimistic assumptions and ensure that enthusiasm for innovation does not override financial discipline.
- Post-implementation review: every pilot should have a formal decision: scale, modify, hold or stop, based on evidence rather than management preference.

Question 3(b) - Sustainability, governance, ethical, customer-protection and regulatory issues (9 marks)

A peer-to-peer rental model creates wider responsibilities because KMCH would influence customer safety and mobility outcomes even though it would not own the vehicles. The Board should consider sustainability, governance, ethical and regulatory implications before launch.

- Customer transparency: customers should be clearly told whether the vehicle is KMCH-owned or privately owned. Hiding this distinction would be misleading and could damage trust.
- Vehicle safety and roadworthiness: every vehicle should satisfy age, inspection, insurance, accident-history and maintenance requirements. KMCH should not accept poor-quality vehicles simply to grow the platform quickly.
- Environmental screening: sustainability criteria could include maximum vehicle age, emissions standards, fuel efficiency and exclusion of vehicles with poor maintenance history. This supports responsible mobility and protects KMCH's premium image.
- Fair treatment of vehicle owners: commission, deductions, damage charges, inspection costs and payment timing should be transparent. KMCH should avoid unfairly transferring all risks to individual owners.
- Customer protection: deposits, refunds, accident claims, fines, traffic challans, late returns and damaged accessories must be handled through clear rules and a fair dispute process.
- Insurance and liability: the Board should ensure that customer, third-party and vehicle-owner risks are properly insured. Ambiguous liability could cause legal disputes and reputational damage.
- Data governance: customer data may be shared with vehicle owners, insurers, payment providers and inspection partners. Consent, retention, access rights and cyber safeguards must be clear.
- Regulatory compliance: KMCH must confirm provincial rental rules, customer eligibility, licensing requirements and tax treatment before the platform goes live.
- Governance of brand standards: the Board should decide whether to use KMCH's main brand, a sub-brand or separate label, and should monitor whether third-party vehicle failures are damaging KMCH's reputation.

Question 3(c) - Board composition, leadership style and organisational culture (10 marks)

Competitive disruption requires KMCH to adapt both governance capability and leadership behaviour. The Board should not simply ask management to “innovate faster”; it must create the conditions for responsible innovation while preserving service discipline.

Board composition and capability

- The Board already has functional expertise in finance, operations, IT, sales and marketing, HR and independent challenge. However, the Chair has rightly questioned whether the Board has enough platform-business, customer-experience and digital-scale expertise.
- KMCH could appoint a digital-platform adviser, establish a strategy / innovation committee, or add a non-executive director with experience in marketplaces, consumer technology, mobility platforms or customer experience.
- Board packs should include customer journey metrics, app performance, innovation portfolio status, competitor benchmarking and cyber / data risk, not only financial and fleet KPIs.

Leadership style

- A transformational and participative leadership style is required to communicate why change is necessary and to involve employees in designing practical solutions.
- A purely command-and-control style may produce compliance but will not generate innovation; however, an uncontrolled entrepreneurial style may create brand, safety and regulatory risk.
- Leadership should therefore be ambidextrous: exploit the existing premium business while exploring new models through controlled pilots.

Culture for responsible innovation

- Create psychological safety so employees can raise concerns about platform risks, customer complaints and operational readiness without being labelled anti-change.
- Encourage cross-functional collaboration between IT, operations, sales, finance, legal/compliance and HR. The workshop comments show that technology is sometimes treated as the solution when process discipline and training are also required.
- Link innovation incentives to measured learning, customer outcomes and risk control, not only revenue or launch speed.
- Provide training for depot managers and customer-service teams so that innovation does not become an unfunded workload for frontline employees.
- Celebrate controlled learning from failed pilots where risks were capped and lessons were captured, while holding managers accountable for poorly governed experimentation.

Recommendation

KMCH should strengthen Board digital capability, adopt a participative and transformational leadership approach, and build a disciplined innovation culture. The company should move faster than in the past, but not recklessly. Responsible innovation should mean small pilots, clear risk limits, customer transparency, evidence-based scaling and strong operational execution.